



File No.: EXP202204982

RESOLUTION OF FILE OF PROCEEDINGS

From the proceedings carried out by the Spanish Agency for Data Protection and based on the following:

FACTS

FIRST: On March 26, 2022, a complaint was filed with the Spanish Agency for Data Protection against ELECTRAWORKS - CEUTA, S.A., with NIF A67870402 (hereinafter, the complained party). The reasons for the complaint are as follows:

The complainant has received a provisional settlement sent by the AEAT on March 22, 2022, corresponding to the fiscal year 2018, in which the tax administration highlights the capital gain attributed to the affected party as a result of income from online gambling activities. In that document, up to four different online gambling websites are identified in which participation is attributed to the complainant (BET365, BWin, Pokestars, and William Hill).

The affected party claims to have been a victim of identity theft, for which she has reported the facts to the national police (providing a copy of the report dated March 22, 2022).

As a result of these events, the affected party registered with the Phishing Alert service, operated by the General Directorate of Gaming Regulation (hereinafter DGOJ), receiving confirmation that her personal data has been used to register, in addition to the platforms referred to by the AEAT, on Partypoker, Partycasino, and Entain. She provides a grouped entry copy of the DGOJ notification dated March 27, 2022, which indicates that her data is currently being processed by the responsible parties of the aforementioned sites.

Along with the notification, the following is provided:

- "Notification of the Procedure for Allegations and Proposal for Provisional Settlement" sent by the Special Delegation of Asturias of the Tax Agency to the complainant on March 22, 2022, regarding the tax concept "Personal Income Tax" for the fiscal year 2018. Within the motivation of this notification, it is indicated, among other aspects, the following: "In the case presented, it is noted that the interested party obtained a net capital gain of 1,466.01 euros, an amount that must be integrated into the general part of her taxable base. Thus, with the operator Bet365 - Betting, she started with an initial balance of 0.00 euros, deposited 200.00 euros, and withdrew -366.00 euros to end the fiscal year with a final balance of 0.00 euros. With the operator Poker Stars, she started with...

C/ Jorge Juan, 6

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28001 – Madrid

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2/12

an initial balance of 0.00 euros, a deposit of 50.00 euros was made, and 0.00 euros were withdrawn to end the period with a final balance of 0.00 euros. With the operator Bwin, an initial balance of 0.00 euros was started, a deposit of 170.00 euros was made, and -1,280.00 euros were withdrawn to end the period with a final balance of 0.00 euros. With the operator William Hill, an initial balance of 0.00 euros was started, a deposit of 100.00 euros was made, and -340.00 euros were withdrawn to end the period with a final balance of 0.01 euros. In total, the claimant withdrew -1,986.00 euros and ended the year with a balance of 0.01 euros. Given that the year 2018 started with an initial balance of 0.00 euros and there are deposits amounting to 520.00 euros, we obtain the mentioned capital gain by difference. That is, the net capital gain is obtained as a result of: (Withdrawals + Final balance) - (Initial balance + Deposits).

- Proof of the claimant's registration in the "Identity Theft Alert Service on Online Gaming Platforms (Phishing Alert)" of the DGOJ on March 27, 2022. This proof indicates that "According to the information available in the database of this General Directorate, at the time of registration, your data is verified by the following operators adhering to the Phishing Alert service" ... "POKERSTARS, Bet365, BWIN, PARTYPOKER, PARTYCASINO, ENTAIN, BWIN.COM, BWIN.ES".

- Copies of the complaints filed by the claimant at the Superior Police Headquarters of Asturias on

March 22, 2022, and March 31, 2022. In these complaints, the claimant reports that she received notification from the Tax Agency listing the winnings she obtained on various online gaming websites without having previously subscribed to any of those online gaming sites. She indicates that, according to what is recorded in the DGOJ, she is registered on a total of eight online gaming websites, which the claimant states she had not previously registered with. The claimant notes in the first complaint that “she had lost her ID on 02/13/2016, reporting this fact at the time of renewal.”

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (hereinafter LOPDGDD), the said complaint was forwarded to the respondent party for analysis and to inform this Agency within one month of the actions taken to comply with the requirements set forth in data protection regulations.

The transfer, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was made available and the notification and certification of acceptance were accepted on June 29, 2022.

No response has been received to this transfer document.

THIRD: On June 26, 2022, in accordance with Article 65 of the LOPDGDD, the complaint submitted was admitted for processing.

FOURTH: The General Subdirectorate for Data Inspection proceeded to carry out preliminary investigative actions to clarify the facts at C/ Jorge Juan, 6

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28001 – Madrid

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3/12

issue, by virtue of the functions assigned to the supervisory authorities in Article 57.1 and the powers granted in Article 58.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions established in Title VII, Chapter I, Section Two, of the LOPDGDD, being aware of the following points:

On July 20, 2022, a document was submitted to the AEPD on behalf of ELECTRAWORKS in response to the transfer of the complaint (made within the file AT/02130/2022, and accessed by

ELECTRAWORKS on June 29, 2022), in which the following information is provided, among others:

1. Indication that they have found in their information systems an account in the name of the complainant that was created on May 13, 2018, through their online portal. It is also indicated that “we have no record of any account created in the name of the complainant on our Partypoker platform.” A screenshot from their information systems is provided showing the details of a record of type “PAYPAL” and Population type “deposit” with the names and surnames of the complainant and with a creation date and last deposit date of May 19, 2018.
2. Statement regarding the identification of players in the registration procedure, that “we must clarify that it is the General Directorate of Gaming Regulation (DGOJ) that establishes the identification guidelines and the procedures to be followed in all cases. That said, we also need to mention that there were two types of procedures; one prior to and another after October 31, 2018. When the account was registered (on May 19, 2018), the applicable procedure was the prior one.” They explain the procedure prior to October 31, 2018, as follows: “The procedure prior to this date consisted either of a digital verification through the website, or the verification of documents that supplemented the online verification if it was not completed correctly. If the online verification through the website was completed correctly, the account was considered verified. Only in cases where the online verification was not completed correctly was the submission of documentation required (for example, if the NIF was not valid). Additionally, there was an obligation to carry out a prior check if the person was registered in the General Registry of Access Prohibitions to Gaming (RGIAJ).”
3. Statement regarding the player identification procedure after October 31, 2018, that “The new verification procedure in Spain consists of two processes: the Web Verification System (provided by the DGOJ) and identity verification (documentary verification). Once the user registers, the information provided by the player at the time of registration is sent to the Web Verification System.” In this way, it is indicated that “In this case, the complainant's account, after the implementation of the new

verification system (after October 2018), was marked as unverified, after the implementation of the new verification system, which meant that deposits and withdrawals were restricted from that date. This new legislation actually never affected the account since all activity (deposits and withdrawals) was carried out only in April 2018.”

C/ Jorge Juan, 6

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28001 – Madrid

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4/12

4. Declaration regarding the measures adopted in relation to this claim, stating that “ElectraWorks, following the communication from the Superior Headquarters of Asturias of the National Police, received on March 23, 2022, proceeded to close the account and to classify the account as fraudulent, in order to apply the necessary measures in this regard. These measures include, among others, the impossibility of accessing the account or services, as there is a block on the account or the impossibility of proceeding with the deletion of the data as they are necessary for an ongoing police investigation.”

5. Declaration that “In relation to the request for the deletion of personal data, as a gaming operator, ElectraWorks is subject to various legal requirements for the maintenance of data for certain periods of time based on three regulations, in particular,” and these regulations are:

- Resolution of October 6, 2014, from the General Directorate of Gaming Regulation under Law 13/2011, of May 27, which in its section 5.1.13 establishes that “Gaming operators shall have the obligation to provide and allow the General Directorate of Gaming Regulation online access to the information corresponding to the last twelve months of activity recorded in the repository. Operators must have a procedure in place for the recovery of information corresponding to a minimum period of six years.”

- Law 58/2003, of December 17, General Tax Law, which in its article 66 establishes a period of four years for the Administration's right to determine tax debts and demand their payment to expire, and in its article 66 bis.2 establishes that “The Administration's right to initiate the procedure for verifying the bases or amounts compensated or pending compensation or deductions applied or pending application shall expire ten years from the day following the end of the regulatory period established for submitting the corresponding declaration or self-assessment for the financial year or tax period in which the right to compensate such bases or amounts or to apply such deductions was generated.”

- Law 10/2010, of April 28, on the prevention of money laundering and the financing of terrorism, which in its article 25.1 establishes that:

“Obligated subjects shall retain for a period of ten years the documentation formalizing compliance with the obligations established in this law, proceeding thereafter to its deletion. After five years from the termination of the business relationship or the execution of the occasional operation, the retained documentation shall only be accessible by the internal control bodies of the obligated subject, including the technical prevention units, and, where applicable, those responsible for their legal defense.

In particular, obligated subjects shall retain for use in any investigation or analysis regarding possible cases of money laundering or financing of terrorism, by the Executive Service of the Commission or any other legally competent authority:

C/ Jorge Juan, 6

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28001 – Madrid

sedeagpd.gob.es

5/12

a) Copy of the documents required in application of due diligence measures, for a period of ten years from the termination of the business relationship or the execution of the operation.

b) Original or copy with evidentiary value of the documents or records that adequately certify the operations, the parties involved in them, and the business relationships, for a period of ten years from the execution of the operation or the termination of the business relationship.

6. Allegation regarding the deletion of the claimant's data specifically stating that "Practically, we believe that it is counterproductive at this moment to delete the data of Ms. A.A.A. for the following reasons; a) there is an ongoing police procedure and we believe that we should retain the data for a period to guarantee the rights of Ms. A.A.A. and b) currently, the data of the respondent is not used for any benefit of Electraworks but to ensure that their data is not used fraudulently by third parties, through the activation of anti-fraud measures imposed on the account."

7. Declaration that "the authors of the fraud had a net benefit of 1,110 euros with the operator Bwin, at the expense of the claimant and our services, and through a clear violation of our legal terms regarding legal and authentic identity for the registration of our accounts." And a link is provided to the historical content of the terms and conditions in English of BWIN, as of March 9, 2019, stored on the website "<https://web.archive.org>", in which section "4. TRUE IDENTITY AND UNIQUE ACCOUNT", among other clauses, it is indicated that "The name stored in your account must match your legal and authentic identity, and the name with which you registered your account must match the name on the credit card or other payment account you used to make deposits or receive money in your account."

On March 27, 2023, a document was submitted to the AEPD on behalf of ELECTRAWORKS in response to an information request, in which the following information is provided, among others: Regarding the documents submitted when registering the claimant's account with BWIN, the following is indicated:

"In relation to the identification documents, it is important to note that ElectraWorks Ceuta, S.A. ("ElectraWorks") does not have them. The reason for not having a copy of any identification document is that, when Ms. A.A.A.'s account was registered on the gaming platform (May 13, 2018), in accordance with the provisions of the Resolution of the Directorate General for the Regulation of Gambling ("DGOJ") dated July 12, 2012, the person was identified and verified by the Company as suitable to participate in online gaming activities, just like many of the players, through the Identity Verification System that the DGOJ provided to online gaming operators. The DGOJ made available to online gaming operators a system that allowed these operators to verify that individuals participating in online gaming activities through their..."

C/ Jorge Juan, 6

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28001 – Madrid

sedeagpd.gob.es

6/12

Platforms are (i) of legal age and, (ii) not registered in the General Registry of Access Prohibitions to Gaming ("RGIAJ").

The peculiarity of this system is that it did not require the player to provide a copy of their ID, but rather the verification of the data they provided, contrasting it in real time with the records of the Ministry of the Interior."

...

"Therefore, given that the aforementioned procedure was still in effect at the time when Ms. A.A.A.'s account was registered on the gaming platform, ElectraWorks does not have a copy of her ID or any other identifying document."

It is alleged that the "Resolution of July 12, 2012, of the General Directorate of Gaming Regulation, which approves the provision that develops Articles 26 and 27 of Royal Decree 1613/2011, of November 14, regarding the identification of participants in games and the control of subjective prohibitions to participation," applies, in which its Fifth section establishes:

"1. The operator is responsible for the veracity of the data contained in its user records and for the correct identification of participants in the games it organizes or develops.

2. In cases where the applicant can provide the number of the national identity document (DNI) or the foreign identification number (NIE), the gaming operator may proceed to verify the name, surname, and date of birth of the applicant through the Identity Verification System for Participants of the National Gaming Commission referred to in the following section.

3. In cases where the applicant identifies as a non-resident in Spain and does not provide the number

of the national identity document (DNI) or the foreign identification number (NIE), the verification of the data will be carried out by the operator within one month from the activation of the registration.”

The Resolution of July 12, 2012, of the General Directorate of Gaming Regulation, which approves the provision that develops Articles 26 and 27 of Royal Decree 1613/2011, of November 14, regarding the identification of participants in games and the control of subjective prohibitions to participation, published in the Official State Gazette (<https://www.boe.es>) on July 19, 2012, establishes in the first paragraph of point 3 of its Seventh section “Verification through the Identity Verification System” the following:

“Once the query is made, if the data matches those in the Identity Verification System, the operator will obtain a positive response and the data will be considered verified.”

The Resolution of October 31, 2018, of the General Directorate of Gaming Regulation, which modifies certain resolutions regarding the gaming activities provided for in Law 13/2011, of May 27, on the regulation of gaming, published in the Official State Gazette (<https://www.boe.es>) on November 8, 2018, indicates in its First section the following:

“Modify the Resolution of July 12, 2012, which approves the provision that develops Articles 26 and 27 of Royal Decree 1613/2011, of November 14, regarding the identification of participants in games and the control of subjective prohibitions to participation, in the following terms:

1. The fifth section of Annex I is worded as follows:

“Fifth. Verification of identity data and the verification of data provided by participants.

1. The operator is responsible for the veracity of the data contained in its user records and for the correct identification of participants in the games it organizes or develops.

2. In cases where the applicant can provide the number of the national identity document (DNI) or the foreign identification number (NIE) during their registration process, the operators must:

a) Verify the identity data contained in their user records, either through the Identity Verification System for Participants of the General Directorate of Gaming Regulation or through other systems or alternative verification means.

b) Documentarily verify the data provided by the participant.

3. In cases where the applicant, during their registration process, identifies as a non-resident in Spain and does not provide the number of the national identity document (DNI) or the foreign identification number (NIE), the verification and checking of the data, which will be carried out through the documentary verification system deemed appropriate, will be conducted by the operator within one month from the completion of the registration process.

4. The operator will take appropriate measures to prevent resident users from registering as non-resident users.”

In its sole additional provision “Entry into force,” it establishes that “This Resolution will enter into force on March 30, 2019.”

LEGAL GROUNDS

I

Competence

In accordance with the functions conferred to each supervisory authority by Article 57.1 a), f) and h) of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR) and as provided in Articles 47 and 48.1 of Organic Law 3/2018, of December 5, on Personal Data Protection and guarantee of digital rights (hereinafter LOPDGDD), it is competent to

8/12

to resolve these investigative proceedings, the Director of the Spanish Agency for Data Protection.

Furthermore, Article 63.2 of the LOPDGDD states that: “The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued for its development, and, as long as they do not contradict them, subsidiarily by the general rules on administrative procedures.”

II

Security of Processing

Article 32 of the GDPR stipulates the following:

"1. Taking into account the state of the art, the costs of implementation, and the nature, scope, context, and purposes of the processing, as well as the risks of varying likelihood and severity for the rights and freedoms of natural persons, the controller and the processor shall implement appropriate technical and organizational measures to ensure a level of security appropriate to the risk, which may include, among others:

- a) the pseudonymization and encryption of personal data;
- b) the ability to ensure the ongoing confidentiality, integrity, availability, and resilience of processing systems and services;
- c) the ability to restore the availability and access to personal data quickly in the event of a physical or technical incident;
- d) a process for regularly verifying, assessing, and evaluating the effectiveness of the technical and organizational measures to ensure the security of processing.

2. In assessing the appropriateness of the level of security, particular consideration shall be given to the risks presented by the processing of data, in particular as a consequence of the accidental or unlawful destruction, loss, or alteration of personal data transmitted, stored, or otherwise processed, or the unauthorized communication or access to such data.

3. Adherence to an approved code of conduct pursuant to Article 40 or to an approved certification mechanism pursuant to Article 42 may serve as an element to demonstrate compliance with the requirements set out in paragraph 1 of this article.

4. The controller and the processor shall take measures to ensure that any person acting under the authority of the controller or the processor and having access to personal data only processes such data on instructions from the controller, unless required to do so by Union or Member State law."

III

Lawfulness of Processing

C/ Jorge Juan, 6

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28001 – Madrid

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9/12

Article 6 of the GDPR, which regulates the lawfulness of processing, establishes the following:

"1. Processing shall be lawful only if at least one of the following conditions is met:

- a) the data subject has given consent to the processing of their personal data for one or more specific purposes;
- b) processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract;
- c) processing is necessary for compliance with a legal obligation to which the controller is subject;
- d) processing is necessary to protect the vital interests of the data subject or of another natural person;
- e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller;
- f) processing is necessary for the purposes of the legitimate interests pursued by the controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular when the data subject is a child.

The provisions of point f) of the first paragraph shall not apply to processing carried out by public authorities in the performance of their tasks.

2. Member States may maintain or introduce more specific provisions to adapt the application of the rules of this Regulation with respect to processing under paragraph 1, points c) and e), laying down more precise specific requirements for processing and other measures to ensure lawful and fair processing, including other specific situations of processing under Chapter IX.

3. The basis for processing referred to in paragraph 1, points c) and e), shall be laid down by:

- a) Union law, or
- b) the law of the Member States applicable to the controller.

The purpose of the processing shall be determined in that legal basis or, in relation to the processing referred to in paragraph 1, point e), shall be necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller. This legal basis may contain specific provisions to adapt the application of the rules of this Regulation, including: the general conditions governing the lawfulness of processing by the controller; the types of data subject to processing; the affected data subjects; the entities to which personal data may be communicated and the purposes of such communication; the limitation of purpose; the retention periods for the data, as well as the operations and procedures for processing, including measures to ensure lawful and fair processing, such as those relating to other specific situations of processing under Chapter IX. Union law or the law of the Member States shall pursue a public interest objective and shall be proportionate to the aim."

C/ Jorge Juan, 6
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28001 – Madrid
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10/12

legitimate interest pursued.

4. When the processing for a purpose other than that for which the personal data were collected is not based on the consent of the data subject or on Union or Member State law that constitutes a necessary and proportionate measure in a democratic society to safeguard the objectives indicated in Article 23, paragraph 1, the data controller, in order to determine whether the processing for another purpose is compatible with the purpose for which the personal data were initially collected, shall take into account, among other things:

- a) any relationship between the purposes for which the personal data were collected and the purposes of the intended further processing;
- b) the context in which the personal data were collected, in particular regarding the relationship between the data subjects and the data controller;
- c) the nature of the personal data, in particular when special categories of personal data are processed, in accordance with Article 9, or personal data relating to criminal convictions and offenses, in accordance with Article 10;
- d) the possible consequences for the data subjects of the intended further processing;
- e) the existence of appropriate safeguards, which may include encryption or pseudonymization."

IV

Conclusion

The claimant became aware of the processing of her data by the defendant entity when the Tax Agency requested her to declare capital gains derived from gambling in the "Personal Income Tax" for the fiscal year 2018. Among these gains were those from the gambling operator BWIN, which is a brand of ELECTRAWORKS.

ELECTRAWORKS has reported that the registration of the user account created with the claimant's data was completed on May 13, 2018, and the date of the last action with this account took place on May 19, 2018.

ELECTRAWORKS indicates that it does not have documentation provided during the account registration because it was not necessary according to the Resolution of July 12, 2012, of the General Directorate of Gaming Regulation, which approves the provision that develops Articles 26 and 27 of Royal Decree 1613/2011, of November 14, regarding the identification of participants in games and the control of subjective prohibitions on participation.

In the "Resolution of July 12, 2012, in its Fifth section.2, it is established that "In cases where the applicant can provide the national identity document number (DNI) or the foreign identification number (NIE), the gaming operator may proceed to verify the name, surname, and date of birth of the applicant through the Identity Verification System of Participants of the National Gaming Commission referred to in the following section."

C/ Jorge Juan, 6
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28001 – Madrid
sedeagpd.gob.es
11/12

And, in its Seventh section.3, it is established that “Once the consultation is carried out, if the data matches that of the Identity Verification System, the operator will obtain a positive response and the data will be considered verified.”

On March 30, 2019, certain resolutions regarding gaming activities provided for in Law 13/2011, of May 27, on the regulation of gaming were amended. At that time, the new wording of section Fifth.2 of this Resolution of July 12, 2012, from the DGOJ, which has been indicated in conclusion 3, came into effect, establishing the following: “In cases where the applicant can provide the national identity document number (DNI) or the foreign identification number (NIE) in their registration process, operators must:

- a) Verify the identity data that appears in their user records, either through the Identity Verification System of the participants of the General Directorate of Gaming Regulation, or through other systems or alternative verification means.
- b) Documentarily verify the data provided by the participant.”

On the other hand, it must be taken into account that the respondent began processing the data of the claimant on May 13, 2018, with the last deposit occurring 6 days later, on May 19.

Even in the event that the processing was carried out without considering the requirements established by the applicable data protection regulations at the time of obtaining the data, the possible infringement would be time-barred because the statute of limitations for the most serious infringements is 3 years, in accordance with the provisions of the LOPDGDD; therefore, in this case, the infringement would have expired before the claim was received.

In accordance with what has been indicated, by the Director of the Spanish Agency for Data Protection, IT IS AGREED:

FIRST: TO PROCEED TO THE FILING of the present proceedings.

SECOND: TO NOTIFY this resolution to ELECTRAWORKS - CEUTA, S.A. and to the claimant.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, and in accordance with the provisions of Articles 112 and 123 of the aforementioned Law 39/2015, of October 1, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file an administrative contentious appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and in section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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12/12